

Companies

A company doing business in the US must register its business name to comply with the law.

Types of companies

The filing procedure to register a business name varies by state, although forms are usually filed with a state's Secretary of State. Businesses can register as a corporation, LLC or other partnership, S corporation, or sole proprietorship.

If a business is under the owner's name, registering a trade name is not required, but is advisable. Some sole proprietors set up an LLC, corporation, or partnership due to the legal protections these offer.

All businesses must get an IRS Federal Employee Identification Number (FEIN). The EIN is used for financial purposes, such as filing tax returns and applying for business licenses.

The accounting year

The IRS has an accounting and tax filing calendar for businesses and the self-employed. Estimated taxes are filed quarterly. International businesses that operate under the Foreign Account Tax Compliance Act (FACTA) must also meet IRS tax requirements.

Most businesses use the calendar year for accounting and tax purposes. The year runs from January 1 through December 31. Businesses using a year-end date that isn't December 31 follow a "fiscal year." To use a fiscal year, the business needs IRS approval.

Large corporations have flexibility when choosing their calendar year, and the taxes required on income differ by the type of corporation. For instance, an S corporation doesn't pay corporate income tax. The income and expenses are passed through to the shareholders as dividends, which are taxable.

A "short tax year" is another accounting year. It applies to businesses operating for less than a year.

CALENDAR AND RESOURCES

Corporate tax rates

The US federal corporate tax rate is 35%, but there's an additional state and municipal corporate tax rate that varies by state and that pushes up the rate to about 39%. Branch profits tax adds an additional 30% tax on foreign corporations engaged in US business or trade.

Federal due dates for estimated corporate taxes

Date	Action
March 15	File Form 1120 and pay taxes due
April 18	Deposit first installment of estimated income tax for the year
June 15	Deposit 2nd installment of estimated income tax for the year
September 15	Deposit 3rd installment of estimated income tax for the year
December 15th	Deposit 4th installment of estimated income tax for the year

Due dates, timing, and required forms differ, depending on the type of business entity. These also vary for fiscal year taxpayers. Forms required for each type of business entity can be found on the IRS website: www.irs.gov.

Find filing requirements and rules of regulation by state on the Small Business Associations website: www.sba.gov.